Zenith-X Trader Manual

Dear Trader,

By receiving this document, it means you now own **Zenith-X**. We wish you an excellent experience with **Zenith-X**. This manual is designed to help you get started trading with the system more quickly.

1. Installation & Activation

Please follow the instructions in the **InstallationProcedure-NT8.pdf** document (accompanying this) to install and activate the following products, in the following sequence.

Step 1: Install and activate the Zenith-X system (file: **RenkoKings_Zenith-X _NT8.zip**).

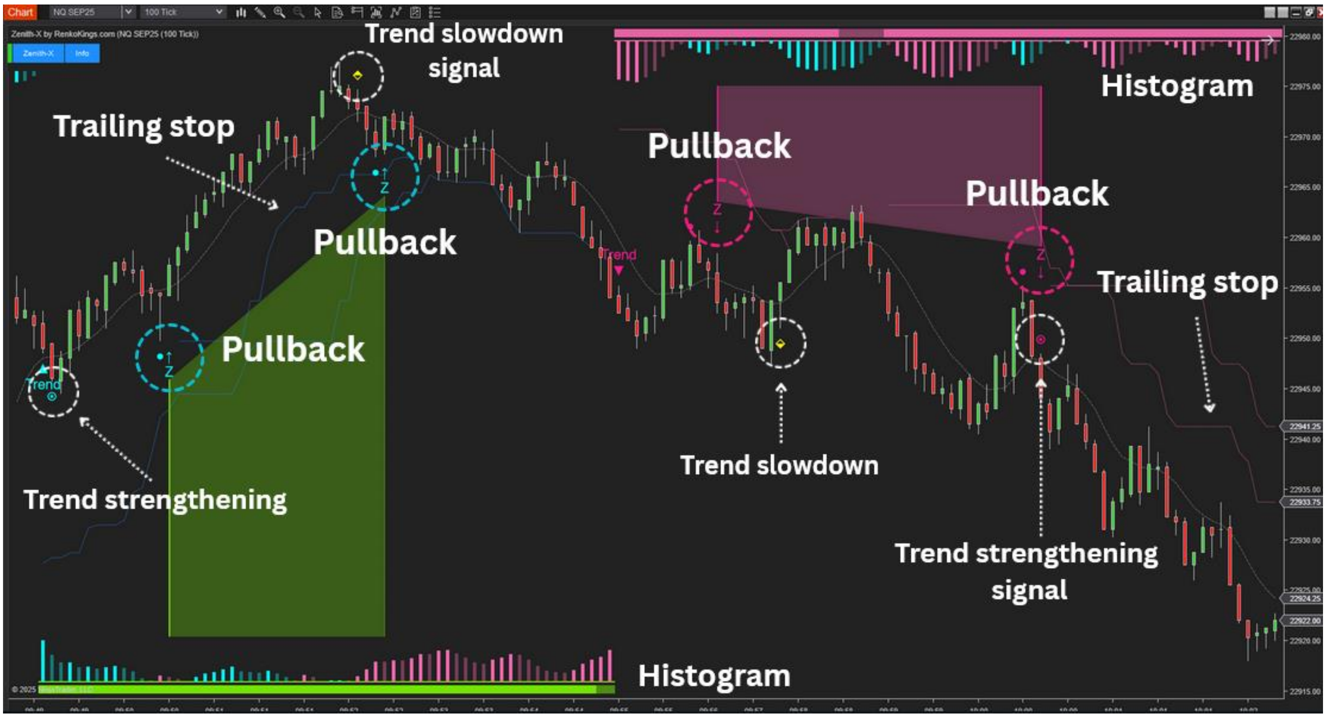
Step 2:

- If you decide to use Zenith-X on ninZaRenko, install the ninZaRenko bar (file: **NinZaRenko_NT8.zip**). No need to activate it, because ninZaRenko is a freebie.
  Please watch the following video for instructions on how to use ninZaRenko: https://www.youtube.com/watch?v=zRMrSyjmljo
- If you decide to use Zenith-X on KingRenko$, install and activate the KingRenko$ bar (file: **KingRenko_NT8.zip**).

Step 3: If you want to have the bar-close prices of ninZaRenko / KingRenko$ highlighted on your chart, install the Bar Status indicator (file: **NinZaBarStatus_NT8.zip**). No need to activate it, because Bar Status is a freebie.

2. Overview

Zenith-X is the first system from ninZa.co designed to help traders address two major issues when using momentum-based strategies: noise and lag.



Below are the main features of **Zenith-X**. The system provides:

- Trend signals and trend phases, specifically: the beginning phase, strengthening phase, and weakening phase
- Pullback signals (this is the system's primary trading signal)
- Momentum histogram analysis
- Trailing Stop plot

Explanation of Hit Bar and Signal Bar

A **Hit Bar** is the candlestick that touches a key price level and is used to identify the Signal Bar.

In **Sensitive Mode: Enabled**:

- In an uptrend, the Hit Bar is identified when:
  - The Momentum Histogram turns pink.
  - The entire body of the candlestick is below the Fast MA.
  - It is the candlestick with the lowest Low within the cluster of consecutive pink histogram bars.
- In a downtrend, the Hit Bar is identified when:
  - The Momentum Histogram turns blue.
  - The entire body of the candlestick is above the Fast MA.

    - It is the candlestick with the highest High within the cluster of consecutive blue histogram bars.

The **Signal Bar** is the candlestick that generates the trading signal.

- In an uptrend, the Signal Bar is identified when:
    - It is a green candlestick
    - The green candlestick meets the condition specified in Signal Bar: Neutral Range (%) (explained in detail in section 2.14)
- In a downtrend, the Signal Bar is identified when:
    - It is a red candlestick
    - The red candlestick meets the condition specified in Signal Bar: Neutral Range (%) (explained in detail in section 2.14)

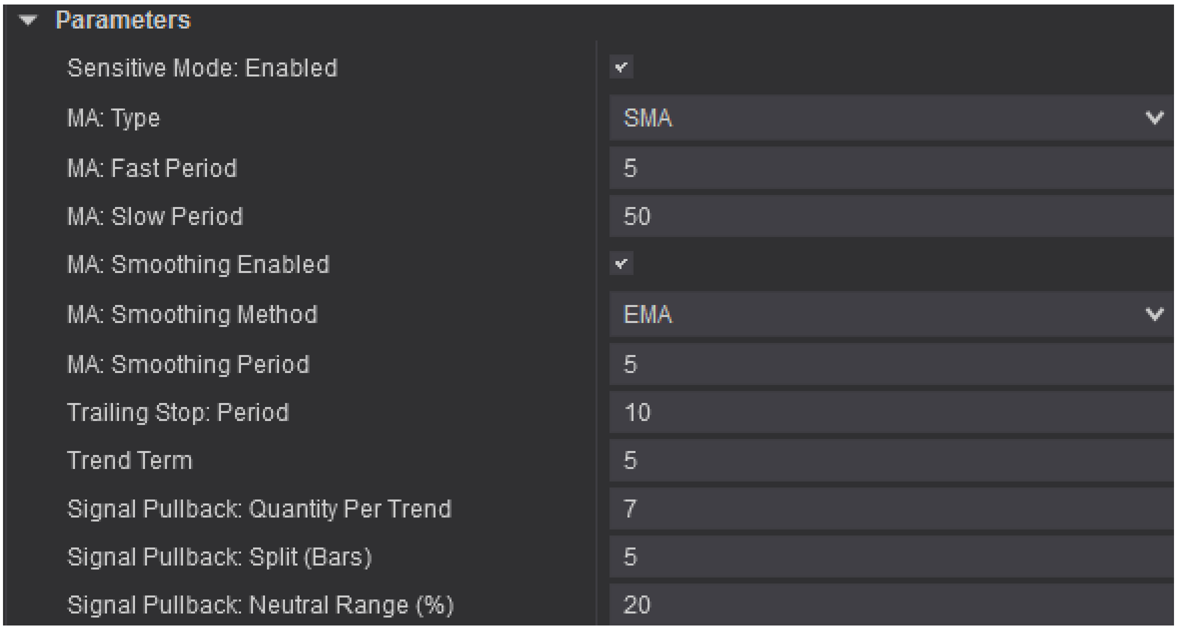
In **Sensitive Mode: Disabled**:

- In an uptrend, the Hit Bar is identified when:
    - The Momentum Histogram turns pink
    - A red candlestick with the lowest close among the last 5 candlesticks, and it must be below the Fast MA
    - The Hit Bar is considered only if bullish momentum is still maintained
- In a downtrend, the Hit Bar is identified when:
    - The Momentum Histogram turns blue
    - A green candlestick with the highest close among the last 5 candlesticks, and it must be above the Fast MA
    - The Hit Bar is considered only if bearish momentum is still maintained

The **Signal Bar** is the candlestick that generates the trading signal.

- In an uptrend, the Signal Bar is identified when:
    - It is a green candlestick
    - The green candlestick meets the condition specified in Signal Bar: Neutral Range (%) (explained in detail in section 2.12)
    - The close of the Signal Bar is higher than the High of the Hit Bar
- In a downtrend, the Signal Bar is identified when:
    - It is a red candlestick
    - The red candlestick meets the condition specified in Signal Bar: Neutral Range (%) (explained in detail in section 2.12)
    - The close of the Signal Bar is lower than the Low of the Hit Bar

2. The parameters



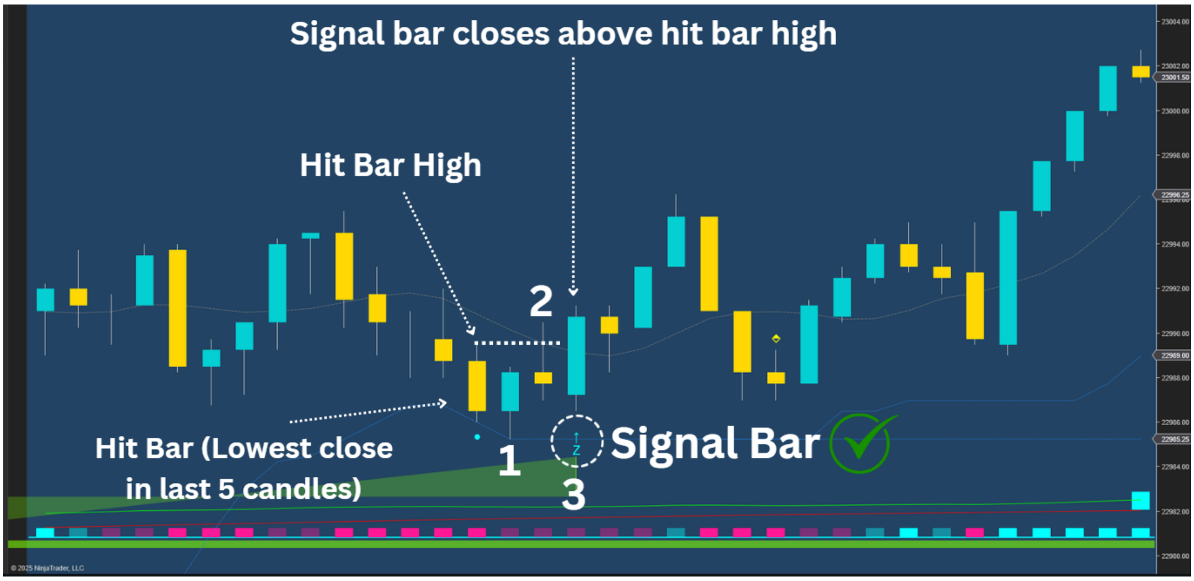
2.1. Sensitive Mode Enabled

" Sensitive Mode": When this mode is enabled, the indicator detects trading signals earlier, which is suitable for traders who prefer quick entries. When this mode is disabled, the indicator looks for signals based on more conditions — suitable for those who prefer clearer and more confirmed signals.

When you disable **Sensitive Mode**, an additional parameter named **Signal Pullback: Finding Period** will appear.

Signal Pullback: Finding Period

- "Signal Pullback: Finding Period": This parameter defines the maximum distance (measured in number of candlesticks) within which the system searches for a Signal Bar after a Hit Bar has been identified.



For example: If **Signal Pullback: Finding Period = 3**, the Signal Bar must meet the required conditions **within 3 candlesticks** from the Hit Bar for the signal to be considered valid. Limiting the number of candlesticks helps traders avoid signals that occur too late.

2.2. MA: Type

- "MA: Type": The moving average type (can choose from 11 popular moving-average types)

2.3. MA: Fast Period

- "MA: Fast Period": The fast price period used by the algorithm to generate trend signals.

2.4. MA: Slow Period

- "MA: Slow Period": The slow price period used by the algorithm to generate trend signals.

2.5. MA: Smoothing Enabled

- "MA: Smoothing Enabled": Enable/Disable smoothing of the moving average.

2.6. MA: Smoothing Method

- "MA: Smoothing Method": The method for smoothing (can choose from 11 popular moving-average types).

2.7. MA: Smoothing Period

- "MA: Smoothing Period": The period for smoothing.

2.8. Trailing Stop: Period

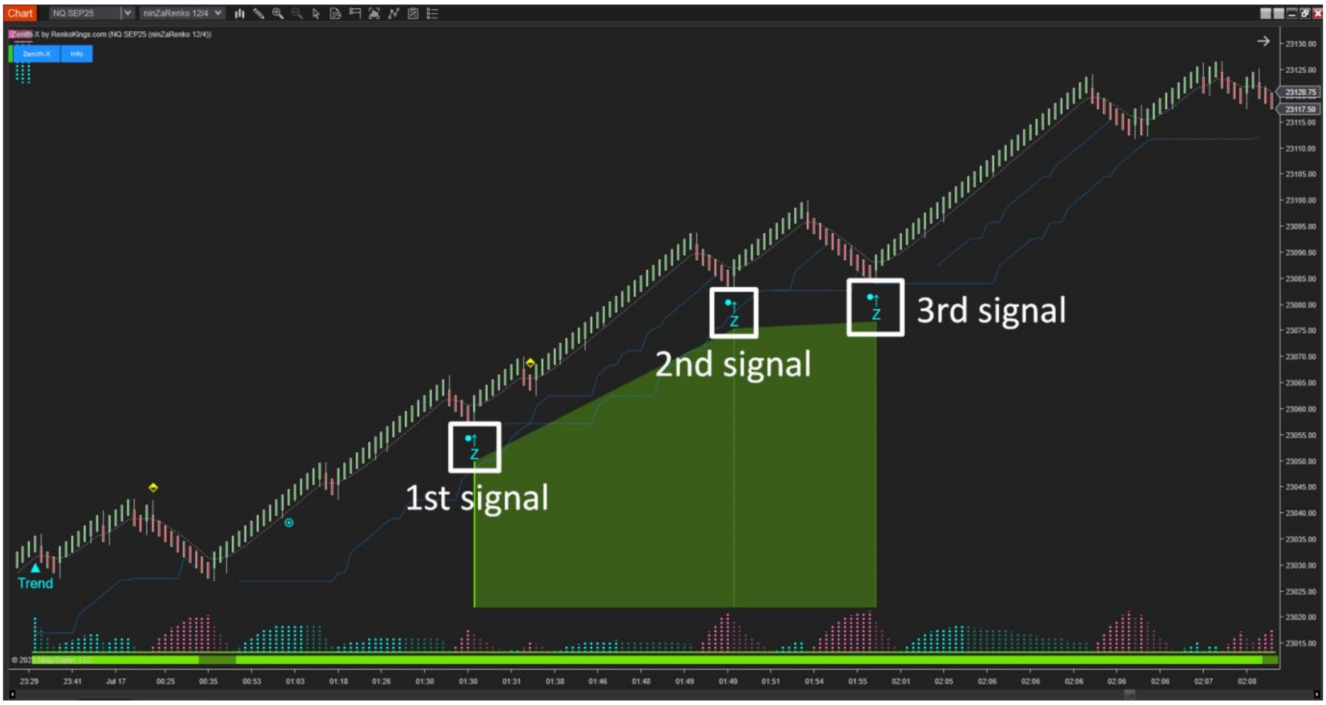
- "Trailing stop: Period": This parameter allows traders to adjust the period of the trailing stop plot.
  A longer period makes the trailing stop plot less sensitive to price (less tightly following price), while a shorter period makes it more sensitive (tighter to price).

2.9. Trend Term

- **"Trend Term":** This parameter defines the multiplier that the system uses to determine the sensitivity of the trend. A higher value results in a longer-term trend that is less affected by short-term fluctuations. A lower value makes the system more responsive to short-term changes in the market.

2.10. Signal Bullback: Quantity Per Trend (Bars)

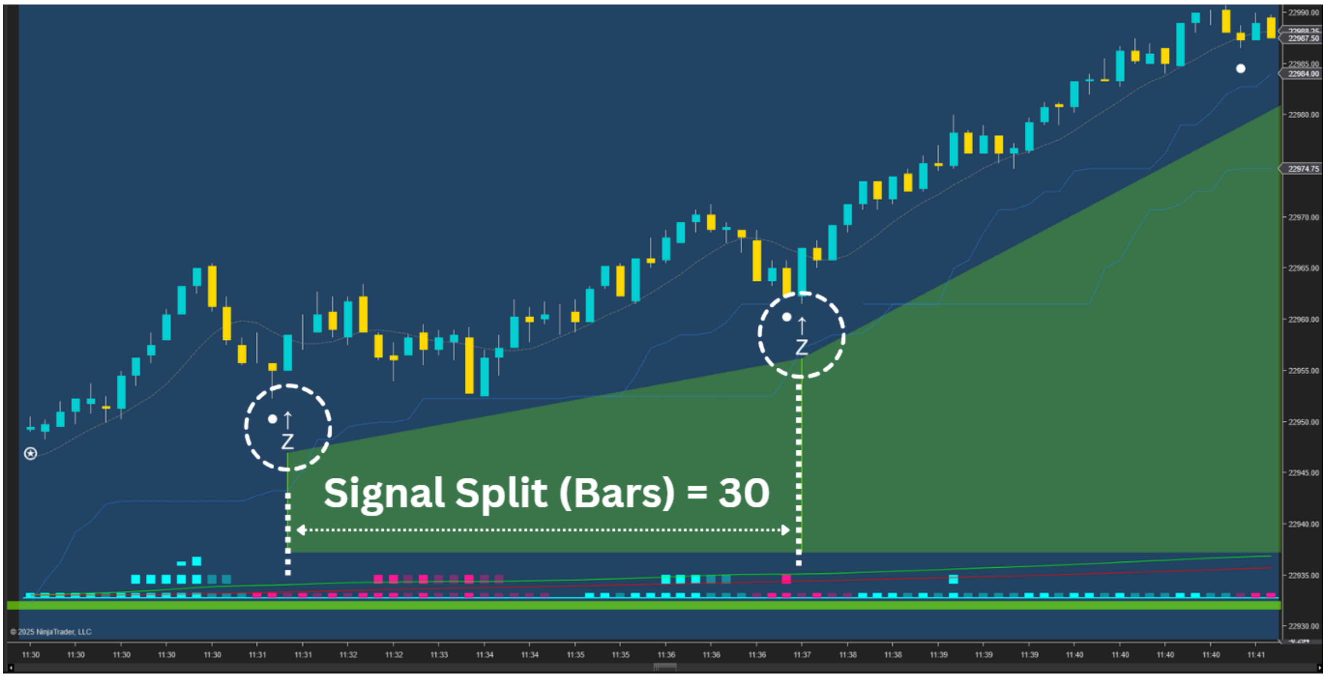
- “Signal Bullback: Quantity Per Trend (Bars)”: This parameter specifies the maximum number of Pullback signals allowed to appear within a single trend.



Example: If you set **Signal Pullback: Quantity Per Trend (Bars) = 3**, this means that within a single trend, a maximum of 3 Pullback signals will be suggested.

2.11. Signal Split (Bars)

- “Signal Split (Bars)”: Set the minimum distance between signals, which is based on the number of candles.



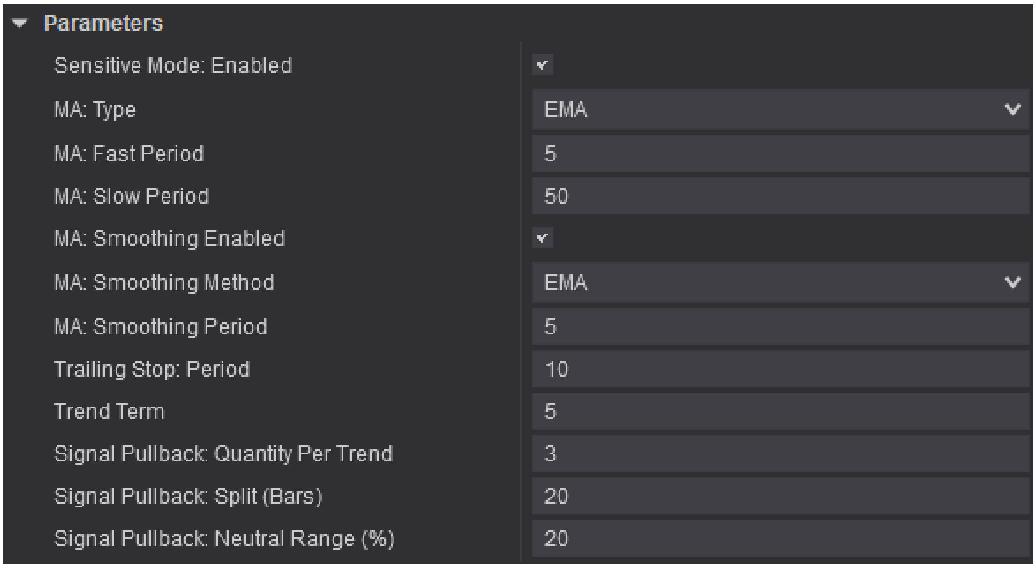
Example: If you set **Signal Split (Bars) = 30**, this means that after a Buy signal appears, the next Buy signal will only be suggested at least 30 bars later.

2.12. Signal Bar: Neutral Range Percentage:

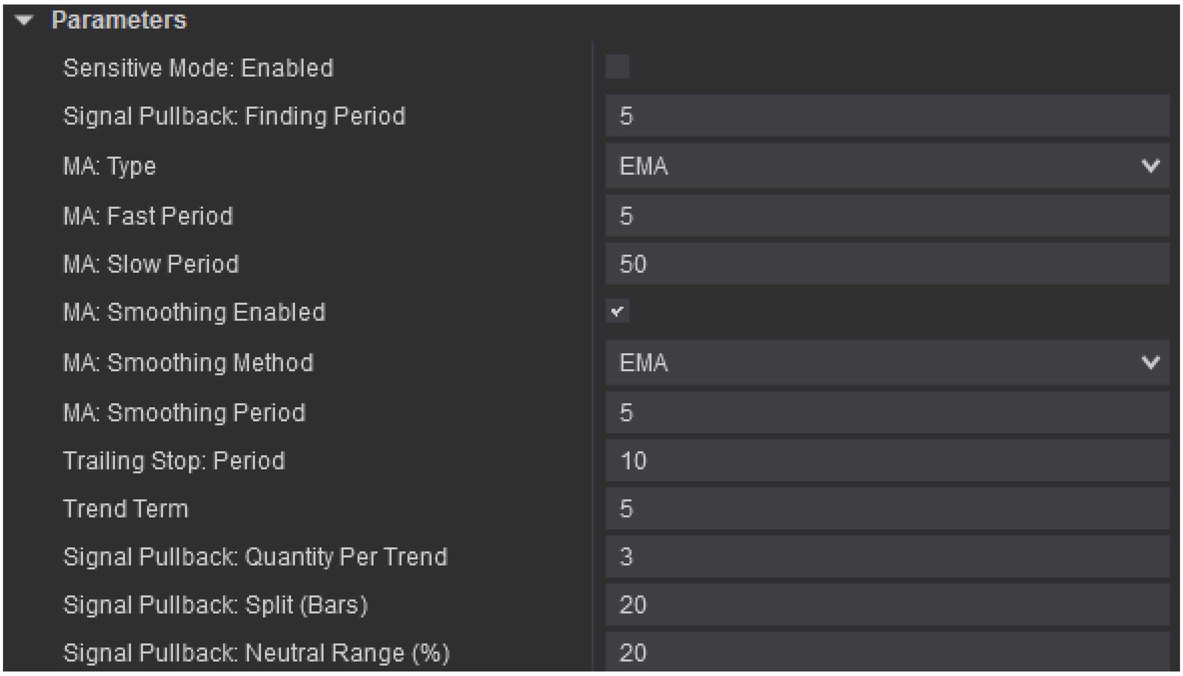
- “Signal Bar: Neutral Range Percentage(%)”: This parameter defines the (%) threshold used to determine the neutral zone of a candlestick. A candlestick is considered a valid signal only if its closing price is outside the neutral zone, in the correct direction of the Signal Bar.

- A Bullish Pullback requires the Signal Bar’s closing price to be above the Neutral Range.
- A Bearish Pullback requires the Signal Bar’s closing price to be below the Neutral Range.

3. Recommended settings for different timeframes



KingRenko$ 12/4 + ninZaRenko 12/4



100 Tick + 200 Tick + 1 Minute

4. Signal mechanisms and their significance in the Zenith-X system

Zenith-X is a system designed to work with a wide variety of chart types and timeframes. It provides all the essential signals needed to execute trades, including trend direction, entry signals, stop-loss points, and an intelligent trailing stop strategy.

Please watch the following video to better understand how Zenith-X works:

4.1. Trend Signal

The Zenith-X system determines the trend through a multi-confirmation mechanism. Specifically, the system's algorithm identifies the trend using an MA Crossover combined with multi-timeframe trend analysis.

To identify an uptrend, the system requires the Fast MA to cross above the Slow MA, along with bullish agreement across the timeframes.

To identify a downtrend, the system requires the Fast MA to cross below the Slow MA, along with bearish agreement across the timeframes.

When both the MAs and the timeframes align in the same direction, it provides a more reliable trend signal. In addition, by observing momentum, you can also identify different phases within a trend — such as its beginning, weakening, or continuation.

4.2. Momentum Signal

The system provides signals to help you assess the current momentum of the trend.

The **Strengthening** signal indicates that the market is moving with strong and clear momentum. When this signal appears, you can set a farther target when entering a trade or hold your position longer to maximize profits from the strong market momentum.

Next is the **Trend Slowdown** signal, which indicates that the market trend is showing signs of weakening. When this signal appears, you should limit your trades or enter positions with moderate Stop/Target levels to avoid increasing risk.

4.3. Entry Signal

Based on our experience, the **first and second pullback signals** at the beginning of a trend are the most reliable and carry the least risk.

In particular, when a pullback signal appears after a Strong Momentum signal, it is considered a higher-confidence pullback. Conversely, when a pullback signal appears after a Trend Slowdown signal, you should consider limiting your trades or trading with smaller position sizes to reduce risk.

4.4. Trailing Stop

Zenith-X provides traders with a momentum-based trailing stop line:

- It appears only when the system detects strong price momentum.
- It closely follows the price, helping to maximize profits when the market moves in your favor.
- Traders can adjust their Stop along this line to extend their reward during strong trending phases.

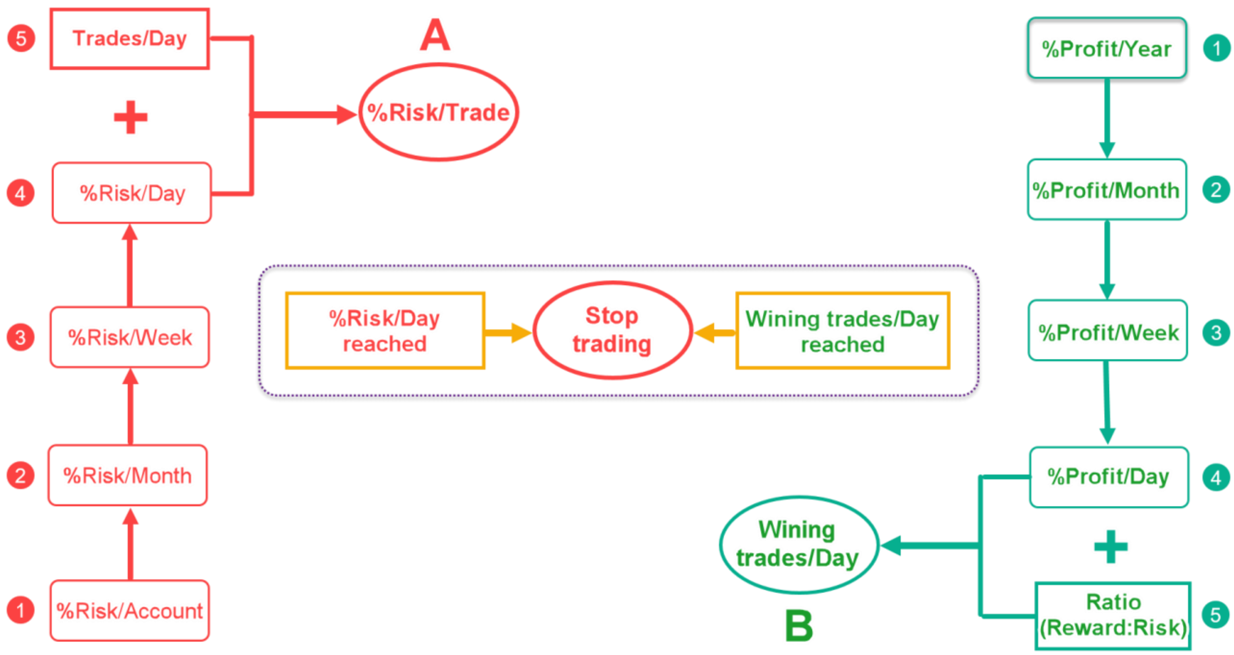
4.5. Reward/Risk ratio

In essence, Zenith-X operates as a trend-following system, utilizing the PullBack signal to optimize entry points. Therefore, it's essential to manage the order placement process effectively to leverage its full potential and achieve a high reward-to-risk ratio.

During backtesting with Hellowin, it's advisable to set the Reward/Risk ratio higher than 1:1, such as 3:1 or 5:1. The Stop position should align with the Trailing Stop line, while the target position should correspond to either the reversal warning signals or the chosen Reward/Risk ratio.

Below, you'll find backtest videos of NQ and ES, demonstrating favorable results with a Reward/Risk ratio where the Reward exceeds the Risk.

4.6. Capital Management



4.7. %Risk/Trade

When it comes to capital management, let's begin by discussing risk. It is important to avoid putting all of your money at risk in your account. Determine the maximum percentage of risk that you are willing to accept for your account within a specified time frame.

For example, suppose your account balance is $100,000. It is important to determine the maximum drawdown level for your account, also known as the Maximum Drawdown (MDD). In this scenario, let's say you decide on an MDD of 30% (equivalent to $30,000 in currency) over a period of 3 months.

* Note: You can determine the MDD and time frame according to your personal preferences. In this example, we are just providing guidelines for easier visualization.

Why did we choose a time frame of 3 months? This duration allows you to take a pause and carefully evaluate your trading method, considering whether the trading results are positive or negative. If the results are not favorable, it is crucial to step back, make necessary improvements, and then resume trading. Do not waste your money if your trading journal indicates that you are trading ineffectively and experiencing losses. Without making any improvements, you will continue to lose your hard-earned money.

In this example, the MDD of 30% represents the %Risk/Account of 30% over a 3-month period. From that, we will go lower to finally get %Risk/Day as follows.

➔ %Risk/Month = 10%

➔ %Risk/Week = 2.5%

****➔ %Risk/Day = 0.5%

The next step is to determine the %Risk/Trade number.

To determine the %Risk/Trade, you need to have a clear understanding of the average number of trades that appear in a day based on your trading checklist. Once you know the %Risk/Day, you can calculate the %Risk/Trade by dividing the %Risk/Day by the number of trades per day.

For example, let's assume that your trading checklist indicates an average of 5 trades per day. Then we have:

➔ Trades/Day = 5 trades

➔ %Risk/Trade = %Risk/Day: Trades/Day = 0.5% : 5 = 0.1%

This implies that you should limit your risk to no more than 0.1% of your account balance per trade. Consequently, the highest amount you can risk for each trade is $100.

* Note: You can utilize a Micro account to increase the distance for your stop-loss orders. A Micro account generally allows for smaller position sizes, enabling you to set wider stop-loss levels while still effectively managing your risk for each trade within $100. This can offer greater flexibility in your trading strategy and accommodate a larger stop-loss distance.

4.8. Wining trades/Day

The next aspect of capital management is to determine the number of winning trades per day (Winning trades/Day) required to reach your profit target. When either the risk or profit reaches the predetermined level, it is advisable to **CEASE trading** to safeguard your capital and preserve your profits. This practice should be implemented with strict discipline since, after a series of consecutive winning trades, there is a higher likelihood of encountering consecutive losing trades.

You should begin by setting the desired profit target for a year (%Profit/Year). For example, if your account balance is $100,000, you can set a %Profit/Year target of 60%, which means you aim to make $60,000 within a year.

Then we will go lower to come up with %Profit/Day as follows.

➔ %Profit/Month = 5%

➔ %Profit/Week = 1.25%

➔ %Profit/Day = 0.25%

Next, you need to determine the Reward/Risk ratio for each trade.

If the ratio is 2:1, you only need to win 2 consecutive trades per day (%Risk/Trade = 0.1%) to achieve a profit of 0.4%, surpassing the %Profit/Day target. Can you achieve this? Absolutely! It is entirely feasible for you.

As a result, you have established that Winning trades/Day = 2 trades.

In conclusion, while there are several metrics to consider in capital management, it boils down to 2 essential ones: %Risk/Trade and Winning trades/Day. By keeping these metrics in mind and approaching your trades with discipline and stability, you can work towards achieving your profit targets effectively.

4.9. Trading Preparation and Execution

Before engaging in trading activities, it is imperative to sift through the plethora of signals provided by Zenith-X. Not all signals are universally applicable or compatible with one's trading style or prevailing market conditions. Therefore, a discerning eye is required to identify signals that align with phases of the market boasting high reliability for trading purposes.

Zenith-X offers a diverse array of features, encompassing signals and signal filters, empowering traders to tailor their trading systems to their individual preferences and strategies. Encouragement is extended to explore, innovate, and break free from limitations. The ethos emphasizes fostering a culture of research and innovation without constraints.

Upon consolidating the requisite factors and conditions essential for executing a trade, it is prudent to craft a meticulous checklist delineating entry criteria, stop-loss thresholds, and profit targets. This checklist should be conspicuously positioned within one's line of sight, whether on-screen or in physical proximity, ensuring swift access. Consistently reviewing the checklist prior to each trade cultivates a disciplined approach.

In the act of trading, adopt a systematic approach akin to that of a machine. Trade execution should only occur when all parameters within the checklist align methodically. Patience becomes paramount as one awaits the synchronization of checklist conditions, mirroring the unwavering precision of a machine. This method instills discipline, fostering decisions rooted in a meticulously devised plan rather than succumbing to emotional impulses.

Post-trading, meticulous upkeep of a trading journal is essential. Diligently monitoring profit/loss performance, extracting insights from experiences, scrutinizing trading signals, and refining trading methodologies collectively contribute to continuous improvement. With Zenith-X's support and diligent efforts directed toward the right avenues, the realization of trading aspirations is within reach, beckoning a promising future just over the horizon.

5. NinjaScripts Signals

You can rely on the signals below to build your strategy:

- ***Signal_Trend:*** *1 = uptrend, -1 = downtrend*
- ***Signal_Trade****: 0 = no signal, 1 = uptrend start, -1 = downtrend start, 2 = downtrend slowdown, -2 = uptrend slowdown, 3 = move stop up, -3 = move stop down, 4 = uptrend pullback, -4 = downtrend pullback*

Below is the example condition for this indicator based on the **Signal_Trade**:

If Signal_Trade equals to 4, you can enter long here.

If Signal_Trade equal to -4, you can enter short here.

Please follow the link below to find more information about Strategy Builder.